

Company Choice: Adidas AG

Adidas was chosen because it is a leading global sportswear company and a member of the DAX 40, making it highly relevant for financial and strategic analysis. Its strong international presence and exposure to a competitive and cyclical consumer industry make it a suitable case for examining how strategic decisions and external conditions influence financial performance.

Looking ahead, a gradual recovery is expected as the company stabilizes inventories, refocuses on its core brand, and expands its direct-to-consumer and digital sales channels, which should improve operational efficiency and revenue quality over time. However, intense competition and ongoing macroeconomic uncertainty are likely to continue weighing on margins in the short term.

Methods & Ratios

To assess the company's financial health across multiple dimensions including liquidity, profitability, solvency and activity, a set of key financial ratios were calculated. These ratios enable meaningful comparison over time periods and across industry peers, offering a more clearer view than raw financial statement data. The ratios and formulas used were:

Liquidity Ratios

The **current ratio** and **quick ratio** were used to evaluate Adidas's ability to meet short-term obligations, with the quick ratio offering a more conservative measure by excluding inventory.

Profitability Ratios

A comprehensive set of profitability margins and return measures was analyzed. **Operating profit margin** and **net profit margin** were used to assess profitability at different stages of the income statement, capturing pricing power, cost management, and overall earnings efficiency. In addition, **return on assets (ROA)** was calculated to evaluate how effectively the company utilizes its total assets to generate profits.

Solvency Ratios

To assess the company's financial leverage and long-term stability, three key metrics were calculated: the **Debt-to-Equity ratio** to evaluate the balance between debt and equity financing; the **Equity Ratio** to determine the proportion of assets funded by shareholder equity; and the **Interest Coverage Ratio** to measure the safety margin for servicing debt from operating profits.

Activity Ratios

Inventory turnover was calculated to gauge the efficiency of inventory management and sales velocity. Also, **asset turnover** was used to assess how efficiently Adidas generates sales from its total asset base.

Challenge: The main challenges involved deciding which fields to place on the Columns and Rows shelves to create an effective visualization. Additionally, selecting appropriate colors proved difficult, as color choices impact both visual appeal and the ease with which viewers interpret and compare the data. It was necessary to balance highlighting key insights while avoiding visual clutter, particularly when working with multiple categories or values.

Interpretation of Adidas AG Result

Profitability Ratios

- **Operating profit margin** increased from 10.83% in 2018 to approximately 11.30% in 2019, reflecting strong operating efficiency. However, it fell sharply to 4.57% in 2020, indicating significant pressure on operational performance. A partial recovery occurred in 2021, with the margin rising to 9.20%, though it remained below pre-2020 levels. From 2022 onwards, operating profitability declined further, highlighting ongoing challenges in sustaining efficient operations amid market and macroeconomic pressures.
- **Net profit margin** rose from 7.80% in 2018 to 8.11% in 2019, before declining sharply to 2.50% in 2020. Profitability temporarily recovered to 7.03% in 2021, but this improvement was not sustained. The net profit margin fell again to 1.13% in 2022 and turned slightly negative in 2023 (−0.28%), indicating a minor net loss in the most recent year.
- **Return on assets (ROA)** followed a similar downward trajectory. It was high in 2018 (11.54%) and 2019 (10.57%), indicating efficient use of assets. In 2020, ROA dropped sharply to 2.21%, before partially recovering to 6.91% in 2021. However, it fell again to 1.20% in 2022 and turned negative in 2023 (−0.31%), showing that Adidas was no longer generating positive returns from its asset base in the most recent year.

Activity Ratios

- **Inventory Turnover** decreased slightly from 3.09 in 2018 to 3.01 in 2019, before dropping sharply to 2.17 in 2020, indicating slower movement of inventory. Although turnover improved to 2.49 in 2021, it declined again to 2.38 in 2022 and 2.14 in 2023, suggesting that inventory was moving more slowly in recent years, which could reflect sales challenges or higher stock levels relative to demand.
- **Total Asset Turnover** shows a similar trend to inventory turnover. The ratio declined from 1.48 in 2018 to 1.30 in 2019 and further to 0.88 in 2020, indicating that the company was generating less revenue per unit of assets. From 2021 onwards, asset turnover gradually improved to 1.12 in 2023, but remained below the levels seen in the early period. Overall, Adidas's operational efficiency weakened after 2019 and has only partially recovered by 2023.

Liquidity Ratios

- **Current ratio** remained above 1 throughout the period, indicating that Adidas consistently maintained sufficient short-term assets to cover its liabilities. It declined from 1.44 in 2018 to 1.25 in 2019, rose to a peak of 1.56 in 2021, and then decreased to 1.27 in 2022 and 1.22 in 2023, suggesting a gradual reduction in liquidity in the later years.
- **Quick ratio** shows a similar pattern. It declined from 0.93 in 2018 to 0.78 in 2019, improved to 1.11 in 2021, and then dropped sharply to 0.62 in 2022, remaining low at 0.66 in 2023. This indicates increased reliance on inventories to meet short-term obligations.

Solvency Ratios

- **Debt-to-asset** ratio increased from 0.59 in 2018 to 0.68 in 2020, declined slightly in 2021, and rose again to 0.74 in 2022 and 0.73 in 2023, indicating higher leverage and a greater reliance on debt to finance the company's assets.
- **Equity ratio** declined from 0.41 in 2018 to approximately 0.26–0.27 in 2022–2023, reflecting a significant reduction in the proportion of assets financed through shareholders' equity and a greater reliance on debt.
- **Interest coverage** ratio declined significantly over time. It was very strong in 2018 (56.52), fell to 16.69 in 2019 and 5.40 in 2020, improved temporarily in 2021 (17.93), and then weakened again to 6.53 in 2022 and 2.15 in 2023, indicating increasing difficulty in servicing interest obligations.

Overall verdict

Overall, the ratio analysis shows a clear deterioration in Adidas's financial performance in the later years. Profitability declined significantly, with all major profitability ratios weakening and turning negative in the most recent year. Efficiency ratios also declined, indicating weaker operational performance. Although liquidity remained sufficient to meet short-term obligations, the declining quick ratio suggests increasing reliance on inventories. Solvency ratios point to increased financial risk due to higher leverage and weakening interest coverage.

Investment Recommendation

Based on this assessment, Adidas may not be an attractive investment at the end of the observed period. The combination of declining profitability, reduced operational efficiency, and rising financial risk makes the company less appealing from a financial standpoint. Investment consideration could only be revisited if there is clear and sustained improvement in profitability, efficiency, and debt-servicing capacity.